ENGINEERING GOODS

The Fallout: When Manoj and Pankaj Chadha calculated the Rs 44 crore hit their company now stares at, it was clear the pain was not theirs alone. India's $20 billion (Rs 1.8 lakh crore) worth of engineering exports to the US—part of the sector's overall $118 billion (Rs 10.4 lakh crore)—have taken some of the worst blows of Donald Trump's tariff salvos. Exports valued at $5 billion (Rs 44,000 crore) were already under the 50 per cent duties on steel and aluminium imposed earlier this year across all trading partners. Of the remaining shipments, goods worth $12.5 billion (Rs 1.1 lakh crore) will also attract a crippling 50 per cent levy. Another $2.5 billion (Rs 22,000 crore) in automobiles and components will face tariffs of either 50 or 25 per cent, depending on the category announced in March. "We estimate a 50 per cent decline in the sector's exports to the US," says Pankaj Chadha, also the chairman of the Engineering Export Promotion Council (EEPC). "The industry stands to lose $6 billion (Rs 52,800 crore) over the next 12 months. Job losses are inevitable."

INDIA'S EXPORTS TO THE US
$20 billion
(approx. ₹1.8 lakh crore)

TOTAL JOBS IMPACTED
1-1.5 million

Exporters had braced for the blow. Shipments surged until August as firms frontloaded exports before the higher tariffs kicked in. The dip is expected in the October–March window. The EEPC's 9,000 members—70 per cent of them micro, small and medium enterprises—face particular strain. Roughly 5,000 companies have over one-fifth of their business tied to the US market, leaving them dangerously exposed.

The Competitors: Indian exporters are not only staring at shrinking orders but also at rivals waiting to fill the breach. Vietnam, facing a lower 20 per cent tariff, has a clear edge, as do Indonesia, Malaysia and Thailand, each capped at 19 per cent. South Korea and Japan, at 15 per cent, are even better-placed, and so is the European Union with 15 member-countries and the same rate. In carbon steel, India runs up against Turkey, China, Vietnam and Mexico—all with more favourable tariff access.

Newer Markets: The search for alternatives is already under way. South America—particularly Mexico, Peru, Chile and Colombia—is emerging as a promising frontier for Indian engineering goods, with strong demand driven by mining, infrastructure and consumer electronics. Russia remains a sizeable buyer, though geopolitical risks cloud its prospects. Closer home, the West Asia and North Africa, or WANA, region is the next big prize: by December 2024, the region reportedly already accounted for over 20 per cent of India's exports in the sector. ■



ARUN KUMAR

VICTIMS OF TRUMP TARIFFS

TEXTILES

LOSING THE THREAD

As US tariffs make their goods costlier, apparel exporters fear losing the US market to Vietnam and Bangladesh

By SONAL KHETARPAL